

World in Brief: America retaliates against Iran; Fed holds interest rates



Photograph: US Central Command/AFP via Getty Images

America struck **Iran's** southern provinces in response to an Iranian missile attack on its forces in Jordan. The renewed fighting ended a days-long [pause](#) that had calmed energy markets. The price of Brent crude, the global oil benchmark, jumped to nearly \$91 a barrel, up from a two-week low of roughly \$84. Earlier, America said that, together with Saudi Arabia, it had carried out strikes on “Iran-aligned terrorists” in Iraq.

The **Federal Reserve** left its benchmark interest rate unchanged at 3.5% to 3.75%. Three of the 12 members of the central bank's rate-setting panel voted for a quarter-point increase. Kevin Warsh, its new chairman, urged patience in [bringing inflation down](#) and said the Fed would “not hesitate to act” when necessary. American stocks fell and two-year Treasury yields declined.

Meta reported \$15.9bn in profits in the second quarter, a 14% [decline](#) from the same period a year earlier. Its shares plunged by as much as 10% in after-hours trading. Meanwhile **Microsoft's** second-quarter earnings beat forecasts, boosting its share price by 8%. Profits grew by 31% year on year, to \$35.8bn, strengthened by demand for its cloud business and AI tools.

Bumper tech earnings reports continued to roll in elsewhere.

Samsung Electronics, a chipmaker, reported operating profits of 89.5trn won (\$62bn) in the second quarter, a year-on-year increase of 1,800%. Meanwhile **Arm**, which [licenses](#) semiconductor designs, beat estimates for its quarterly results but warned investors that income from smartphone chips will soon fall.

Dr Anthony Fauci, the chief medical adviser to the White House during the **covid-19** pandemic, repeatedly invoked his Fifth-Amendment right to not answer questions during a Senate committee hearing examining the [origins](#) of the virus. Rand Paul, a Republican senator chairing the committee, said lawmakers would vote on whether to hold Dr Fauci in contempt. Dr Fauci, who retired in 2022, called Mr Paul's comments "slanderous".

The **European Union** said it would investigate **FIFA's** [proposed venture](#) to raise capital from external investors. Football's governing body attracted criticism for its plan to sell stakes in a new entity, **FIFA Forward Enterprise**, to raise up to \$4.2bn for its tournaments. Glenn Micallef, the **EU's** commissioner for sport, called the "relentless commercialisation" of football "corrosive". **FIFA's** member associations must approve the proposal.

Australia sued **Telegram** over alleged failings to remove "pro-terror" posts. The chief of Australia's internet regulator said the [messaging app](#) was a "permissive environment" for extremist content such as videos of mass shootings that "only serves to desensitise, to normalise and to sometimes radicalise" users. A spokesperson for Telegram rejected the allegations and said its anti-terrorism efforts were "extensive" and "well-documented".

Figure of the day: 8%, the share of British adults who send postcards. [Once ubiquitous and loved](#), can they be revived?

Europe's sluggish recovery

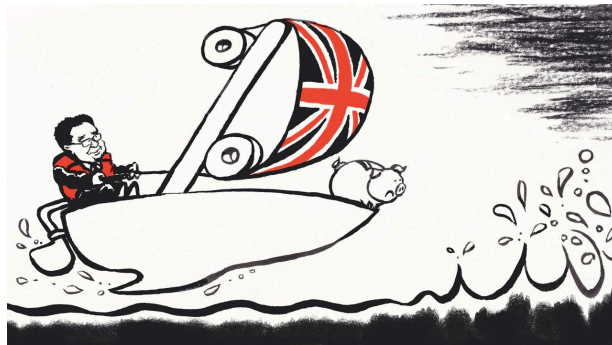


Photograph: Avalon

The euro zone's economy is struggling to find its footing. It **lacks** both tech giants to rival those in America, and data centres to host their AI models. Meanwhile, Donald Trump's conflict with Iran, which is flaring up again, has dealt a blow to the continent's already sluggish growth. Services have taken the hardest hit, as high oil prices hit households and their willingness to spend. Consumer-price inflation was around 3% in the second quarter. Preliminary GDP figures for the second quarter, released on Thursday, will reveal the severity of the slump.

There are some positive signs. Sentiment among firms showed hints of a rebound in June, as **oil prices** fell from extremely high to merely high. The mood among households is also recovering, according to a flash release by the European Commission. But the same figures show that household sentiment is still struggling to reach its pre-war baseline, much less return to its long-term average.

Has the Bank of England finally caught a break?



Photograph: David Simonds

The [Bank of England](#) is expected to hold its main interest rate at 3.75% on Thursday after a run of good news. Inflation slowed to 2.6% in the year to June, half a percentage point below the bank's most recent forecast. The economy expanded by an unexpected 0.7% in the three months to May, compared with the previous three months. And this growth lacked the inflationary wage increases that frustrate central bankers.

Still, rate-setters remain uneasy. Renewed conflict in the Middle East briefly pushed oil prices above \$100 a barrel last week. Barclays, a bank, forecasts that inflation will peak at 3.4% in November. At least two of the central bank's nine committee members will probably vote to raise rates to 4%—an attempt to prevent any [inflationary spiral](#). Policymakers will also be nervous about whether [Britain's new prime minister](#), Andy Burnham, will loosen fiscal policy at the autumn budget. The bank's good fortune may not last.

Diplomacy stalls in the Gulf



Photograph: US CENTRAL COMMAND/AFP via Getty Images

On Wednesday Iran fired a barrage of missiles at an American base in Jordan, ending an informal five-day truce. Donald Trump had paused the war—despite his threats of a “massive attack”—to buy time for talks over [reopening the Strait of Hormuz](#) and for a naval blockade to choke off Iran’s economy. The regime in Tehran no doubt hoped to show that America does not control the pace of battle. Mr Trump, never one for understatement, subsequently promised to “beat the fucking shit out of them”.

The talks are not going well. Omani diplomats flew to Tehran last weekend to present a compromise in which regional countries would jointly administer Hormuz. Ships would not be charged tolls, but the consortium could collect voluntary fees. Iran rejected the proposal. Its deputy foreign minister insists that the strait’s inbound lane must be entirely under Iranian control—a non-starter for America and its Gulf allies.

The shine comes off European defence giants



Photograph: Reuters

BAE Systems, Europe's biggest defence firm, has been [riding high](#). It has a large order backlog and recently won a £2.5bn (\$3.3bn) contract to support Turkey's new Typhoon fighter-jet fleet. The British government has pledged £8.6bn over the next four years to a BAE-led initiative to develop a new jet, alongside Italy and Japan. The company, which reports its half-year results on Thursday, expects sales in 2026 to be 7-9% higher than in 2025.

Yet shares in the company have been flat for much of the past year, reflecting a [broader malaise](#). An index of leading European military contractors has fallen by 12% from its peak at the start of the year. That is partly because of [uncertainty](#) over how European governments will fund increased defence commitments. Buzz surrounding upstart firms, including Helsing and Quantum Systems, makers of AI-enabled autonomous drones, is also weighing on legacy firms.

Revisiting the Lockerbie bombing



Photograph: Netflix

“The Bombing Of Pan Am 103”, a six-part factual drama released on Netflix on Thursday, recounts the events of the Lockerbie bombing, named after the small Scottish town where Britain’s most devastating terrorist attack struck in 1988. The 11 residents who died when Pan Am 103 blew up in the sky overhead were unintended casualties—the culprits, linked to Libya’s government, planned to down the airliner over the ocean. Their principal target was America, yet their 270 victims hailed from 21 countries. What followed was the biggest and most complex murder investigation ever undertaken in Scotland, in the jurisdiction of its smallest police force.

The programme centres on the investigation, drawing on testimonies from those who pursued the case and victims’ families. Although the narrative is inevitably compressed, the docu-drama is harrowing and gripping as it traces the long, twisting path towards justice. Only one person has ever been convicted (he has since died); a Libyan man accused of making the bomb is still awaiting trial in America.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Thursday: Which Roman tourist spot contains the Arch of Titus and the Temple of Antoninus and Faustina?

Wednesday: What is a common name for the Central Intelligence Agency?

A person who has not done one half his day's work by ten o'clock, runs a chance of leaving the other half undone.

Emily Brontë